

Fugger announced the partnership: “I believe if anyone can develop the Ripple concept on a global scale, they can. Their system is based on a Bitcoin-style blockchain, much as we have discussed here over the last few years as an interesting possibility, but with a novel miner-less consensus mechanism that allows transactions to be confirmed near instantaneously.”

Interestingly, in November 2012, this statement from Fugger appeared on Bitcoin’s dedicated communication channel, a Reddit-style site called bitcointalk, under the heading, “Is Ripple a Bitcoin Killer or Complementer? Founder of Mt. Gox will launch Ripple.”²⁴ This would not be the last time someone asked if a new upstart would be a Bitcoin-killer.

Not long after, in the spring of 2013, it was announced that Larsen and McCaleb’s company that developed the Ripple protocol, then called OpenCoin, had secured funding from prestigious venture capitalists, including Andreessen Horowitz.²⁵ This was a notable development—a sign of approval of the viability of cryptocurrency from one of the most revered venture capital firms in the world. OpenCoin would later rebrand as Ripple Labs.

Ripple’s technology did several new things. It didn’t have miners. Instead it utilized a consensus algorithm that relied on trusted subnetworks to keep a broader decentralized network of validators in sync. That’s enough to confuse any innovative investor. What’s important to recognize is that Ripple’s consensus algorithm relied on trust of some sort, which was